

25STCV18330 25STCV18330

County: los-angeles

Division: Civil Law and Motion

Department: 617

Hearing date: 2026-08-14

Source URL:

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Case Number: 25STCV18330 Hearing Date: August 14, 2026 Dept: 617

Dept. 617

Date: 8-14-26

Case #: 25STCV18330

Trial Date: None Set

DEMURRER WITH MOTION TO STRIKE

MOVING PARTY: Defendant, St. Gregory the Illuminator Armenian Apostolic Church of Pasadena

RESPONDING PARTY: Plaintiff, HEC Engineers & Contractors

RELIEF REQUESTED

Demurrer to Complaint

Motion to Strike

SUMMARY OF ACTION

The instant action arises out of the renovation of church property owned by Defendant Western Diocese of the Armenian Church of Pasadena (Diocese). Defendant St. Gregory the Illuminator Armenian Apostolic Church of Pasadena (Church) occupies and manages the property. Plaintiff HEC Engineers & Contractors alleges that in late 2020 or early 2021 Church CEO John Tatouljian and Archpriest Rev. Fr. Sarkis Petoyan represented to Plaintiff that they wanted Plaintiff to be the contractor for the renovation and asked it to provide a bid. However, after Plaintiff began work to prepare an estimate for the project, Tatouljian and Fr. Sarkis told Plaintiff that Church chose another contractor for construction. Plaintiff alleges that Tatouljian and Fr. Sarkis asked Plaintiff to submit an invoice for the time spent on the project for payment.

Plaintiff alleges it sent an invoice in the amount of \$86,260 but has not been paid. It asserts claims for (1) Common Count – Open Book Account; (2) Common Count Services Performed; and (3) Constructive Fraud.

RULING

Demurrer: Overruled.

Church demurs to Plaintiff's complaint arguing that it fails to state its claims.[1] Plaintiff opposes the demurrer, maintaining the sufficiency of the allegations supporting its claims. Defendant's demurrer is overruled.

A demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties." (Code Civ. Proc., § 452.) The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law" (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (*Picton v. Anderson Union High School Dist.* (1996) 50 Cal.App.4th 726, 733.) "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.)

First Cause of Action: Common Count – Open Book Account

The demurrer to the open book account claim is overruled. Church argues that this claim fails because the invoice is insufficient to constitute an open book account. It contends the invoice does not contain the details necessary to create an open book account because "[t]here are no allegations of periodic billing, no mutual understanding of account terms, no running balance, and no course of ongoing financial dealings." [Demurrer at p. 5.] However, "[a]n open book account may consist of a single entry reflecting the establishment of an account between the parties, [citation] and may contain charges alone if there are no credits to enter." (*Joslin v. Gertz* (1957) 155 Cal.App.2d 62, 66.) The Court finds the invoice sufficient to create an open book account. It identifies the amount due and that the charges are in favor of Plaintiff, details the specific charges made (as well as any discounts), and identifies that the charges are entered against Church. [Compl. ¶ 13, Ex. 1.] (See *Joslin*, supra, 155 Cal.App.2d at p. 66.) The demurrer to the open book account claim is therefore overruled.

Second Cause of Action: Common Count Services Performed

The demurrer to the services performed claim is also overruled. Church argues that Plaintiff's claim for services performed fails because Plaintiff's allegations indicate that its services were done gratuitously rather than in response to a request from Church. "To recover on a claim for the reasonable value of services under a quantum meruit theory, a plaintiff must establish both that he or she was acting pursuant to either an express or implied request for services from the defendant and that the services rendered were intended to and did benefit the defendant." (*Ochs v. PacificCare of Cal.* (2004) 115 Cal.App.4th 782, 794.) Here, Plaintiff alleges a request for services because it claims that Church representatives told Plaintiff that they wanted Plaintiff, "and no one else," to do the renovation work and asked for a bid. [Compl. ¶ 9.] Accepting Plaintiff's allegations as true and drawing inferences in favor of Plaintiff, Plaintiff's estimation work was intended to benefit Church and did so as the other contractor used Plaintiff's work to renovate the property. [Id. ¶ 25(c).] Plaintiff thus sufficiently pleads a right to recovery under a quantum meruit theory, and the demurrer to this claim is therefore overruled.

Third Cause of Action: Constructive Fraud

Church argues that Plaintiff's cause of action for constructive fraud fails because Plaintiff does not allege a fiduciary or confidential relationship between the parties and a misrepresentation at the time of inducement. It further contends that Plaintiff does not plead its claim with requisite particularity.

The demurrer to the "constructive fraud" claim is overruled. The Court acknowledges that Plaintiff fails to plead the requisite fiduciary relationship because its allegations indicate that any fiduciary duty ran from Plaintiff to Church as its trusted "Master Builder." [Compl. ¶¶ 8-11.] (See *Salahutdin v. Valley of Cal., Inc.* (1994) 24 Cal.App.4th 555, 562.) Nonetheless, Plaintiff sufficiently pleads a fraud claim.

"The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) Fraud must be pled with specificity; conclusory allegations are insufficient. (*Id.* at p. 645.) This requires "pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (*Ibid.*)

Plaintiff's allegations state a fraud claim with requisite particularity. Plaintiff alleges that in late 2020 or early 2021, Church representatives represented to Plaintiff that they wanted Plaintiff, "and no one else," to do the renovation and instructed Plaintiff to "do whatever was necessary" so the project could begin, implying that Plaintiff would be hired for the actual construction or at least paid for his work. [Compl. ¶ 9.] Plaintiff relied on this representation in performing the estimation work and would not have done the work if it knew it wouldn't be paid. [*Id.* ¶¶ 10, 27.] Church's knowledge of falsity and its intent to defraud is readily deducible from the failure to pay the invoice over many months and the benefit it received from using Plaintiff's work in the renovation without having to pay for it. [*Id.* ¶¶ 14, 25.] (See *Lovejoy v. AT&T Corp.* (2001) 92 Cal.App.4th 85, 96 [intent to defraud and reliance inferred from allegations in complaint].) Plaintiff was damaged in the form of an unpaid \$49,475 invoice.[2] [Compl. ¶¶ 13, 28, Ex. 1.] Thus, regardless of the label of Plaintiff's claim, it has sufficiently pled a cause of action sounding in fraud. Defendant's demurrer to this claim is therefore overruled.

Motion to Strike: Denied.

Church moves to strike Plaintiff's prayer for punitive damages and corresponding allegations as well as the prayer for, and references to, attorney fees. Diocese joins Church's motion. Church argues that because Plaintiff's fraud claim fails, so does its claim for punitive damages. It similarly contends that Plaintiff's failure to state an open book account claim precludes its request for attorney fees. In any event, Civil Code section 1717.5 limits recovery to \$1,200. Plaintiff opposes the motion, arguing that its open book account and fraud claims support its punitive damages and fees request and that its request for fees "according to proof" is immaterial. Church's motion to strike is denied.

The Court first considers and rejects Church's challenge to Plaintiff's punitive damages claim. As explained in the Court's ruling on Church's demurrer, Plaintiff has sufficiently pleaded a fraud claim. The fraud cause of action is sufficient to support Plaintiff's punitive damages claim. (*Stevens v. Superior Court* (1986) 180 Cal.App.3d 605, 610.) Thus, Plaintiff has sufficiently alleged facts to support its punitive damages claim against Church and the motion to strike the prayer and corresponding allegations is denied. Church's challenge based on the limitation on corporate punitive damages liability imposed by Civil Code section 3294, subdivision (b), was raised for the first time in reply and is thus not considered. (*Maleti v. Wickers* (2022) 82 Cal.App.5th 181, 227-28.)

Church's motion to strike Plaintiff's prayer for, and reference to, attorney fees is also denied. Civil Code section 1717.5, subdivision (a)(1), caps the amount of attorney fees recoverable for "any action on a contract based on a book account . . . which does not provide for attorney's fees and costs." The amount of fees "shall not exceed the lesser of: (1) one thousand two hundred dollars (\$1,200) for book accounts based upon an obligation owing by a natural person for goods, moneys, or services which were primarily for personal, family, or household purposes; and one thousand six hundred dollars (\$1,600) for all other book accounts to which this section applies; or (2) 25 percent of the principal obligation owing under the contract." (Civ. Code, § 1717.5, subd. (a)(2).) Here, Plaintiff alleges an oral contract between the parties for the reasonable value of the estimation work. (*Id.* § 1611.) And should Plaintiff prevail, it would be entitled to attorney fees "in an amount according to proof," subject to the statutory limits. The Court does not read the phrase as improperly seeking an award of fees beyond those limits. The motion to strike is therefore denied.

Church to answer the operative complaint within 10 days.

Church to give notice.

[1] Church also demurs on grounds of uncertainty. Because the complaint sufficiently apprises Church of the issues it is being asked to meet, the demurrer based on uncertainty is overruled. (Williams v. Beechnut Nutrition Corp. (1986) 185 Cal.App.3d 135, 139, fn. 2.)

[2] While Plaintiff alleges an unpaid amount of \$86,260, the invoice attached to the complaint lists a charged amount of \$49,475 after subtracting discounts. The \$49,475 thus takes precedence over the alleged amount. (Dodd v. Citizens Bank of Costa Mesa (1990) 222 Cal.App.3d 1624, 1627 ["[F]acts appearing in exhibits attached to the complaint will also be accepted as true and, if contrary to the allegations in the pleading, will be given precedence".].)

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DEMURRER

MOVING

PARTY: Defendant, Western Diocese of the Armenian Church of Pasadena

RESPONDING

PARTY: Plaintiff, HEC Engineers & Contractors

RELIEF

REQUESTED

Demurrer

to Complaint

SUMMARY

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The

instant action arises out of the renovation of church property owned by

Defendant Western Diocese of the Armenian Church of Pasadena (Diocese). Defendant

St. Gregory the Illuminator Armenian Apostolic Church of Pasadena (Church)

occupies and manages the property. Plaintiff HEC Engineers & Contractors

alleges that in late 2020 or early 2021 Church CEO John Tatoulian and Archpriest

Rev. Fr. Sarkis Petoyan represented to Plaintiff that they wanted Plaintiff to

be the contractor for the renovation and asked it to provide a bid. However,

after Plaintiff began work to prepare an estimate for the project, Tatoulian

and Fr. Sarkis told Plaintiff that Church chose another contractor for

construction. Plaintiff alleges that Tatoulian and Fr. Sarkis asked Plaintiff

to submit an invoice for the time spent on the project for payment.

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alleges it sent an invoice in the amount of \$86,260 but has not been paid. It

asserts claims for (1) Common Count – Open Book Account; (2) Common Count

Services Performed; and (3) Constructive Fraud.

RULING: Overruled.

Request

for Judicial Notice: Granted.

The

Court takes judicial notice of the existence of the articles of incorporation

filed with the Secretary of State. (Evid. Code, § 452, subd. (c).)

Diocese

demurs to Plaintiff's complaint arguing that Plaintiff fails to state its

claims. Aside from incorporating the arguments Church made in its demurrer,

Diocese argues that Plaintiff does not state a claim against it because only

Church is identified as the debtor in Plaintiff's invoice and the alleged

representations were made only by Church. Plaintiff opposes the demurrer,

contending that it sufficiently alleges Diocese's liability as a principal of Church.

The Court rejects the specific attack on the elements of Plaintiff's causes of

action for the reasons stated in its ruling on Church's demurrer. Thus, the

focus is on whether Plaintiff alleges Diocese's liability as a principal of

Church. The Court concludes that it does and Diocese's demurrer is overruled.

A

demurrer is an objection to a pleading, the grounds for which are apparent from

either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading “by raising questions of law.” (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) “In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties.” (Code Civ. Proc., § 452.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law” (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (*Picton v. Anderson Union High School Dist.* (1996) 50 Cal.App.4th 726, 733.) “If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.)

Plaintiff

sufficiently alleges that Diocese was Church's principal. It alleges that “each

defendant named in this Complaint was, and at all times herein mentioned was

and now is the partner, agent, servant and/or employee of the other defendants

herein, and was at all such times acting within the course and scope of such

agency and employment and with the consent and permission of each of the other

defendants and each of the defendants herein ratified each of the acts of each

of the other defendants and each of them.” [Compl. ¶ 5.] It further identifies

that Diocese owned the property and that Church occupies and manages it “with

the authority, permission and on behalf of” Diocese. [Id. ¶¶ 6-7.] And

Plaintiff claims that Tatouljian and Fr. Sarkis made their representations regarding

Church’s desire to have Plaintiff do the renovation “with the authority of the

Board Of Directors of CHURCH and ACNA WESTERN DIOCESE.” [Id. ¶ 9.] These

allegations are sufficient to allege an agency relationship between Church and

Diocese and Diocese’s authorization of Church’s actions. (Skopp v. Weaver

(1976) 16 Cal.3d 432, 437-39 [general allegations of agency sufficient].)

Diocese’s

remaining arguments that Plaintiff’s specific allegations contradict and defeat

the general agency allegations and that it cannot be liable for Church’s

alleged fraud are unavailing. While it is true that a general allegation of

agency may be insufficient “where the specific allegations of a complaint

overcome the general allegation of agency by showing that no such relationship

existed," that is not the case here. (Garton v. Title Ins. & Trust Co.

(1980) 106 Cal.App.3d 365, 376.) Allegations that Church, rather than Diocese,

made the request for services, communicated with Plaintiff regarding the

renovation, and made the payment promise are not inconsistent with an agency

relationship given Plaintiff's allegations that Church managed the property for

Diocese and expressed its desire for Plaintiff to renovate the buildings "with

the authority" of Diocese. [Compl. ¶¶ 9-14.] And a principal is liable for its

agent's non-negligent acts if it "authorized or ratified them." (Civ. Code, § 2339.)

Diocese's demurrer is thus overruled.

Diocese

to answer the operative complaint within 10 days.

Diocese

to give notice.